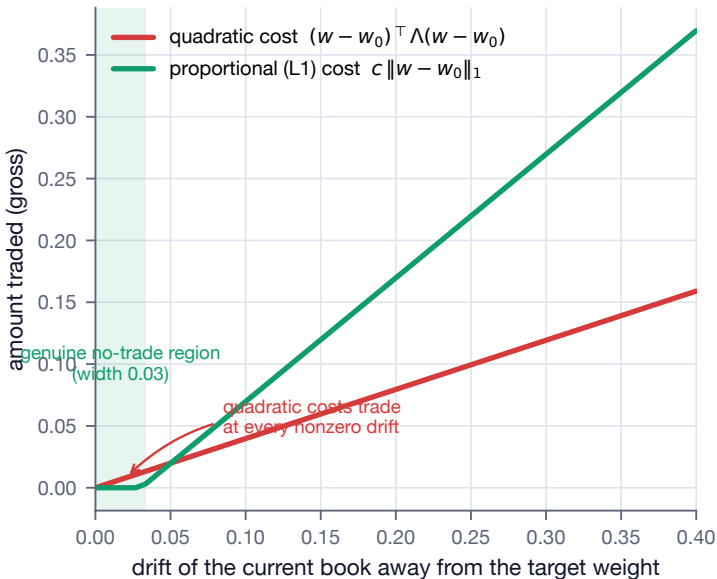


Figure 14 — Finding P-13: quadratic transaction costs do NOT produce a no-trade region

(a) Only a KINKED cost function creates a band



(b) The mechanism: behaviour at zero

